Playbook: Limitation of Liability

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK
SECTION 4: LIMITATION OF LIABILITY AND INDEMNIFICATION

4.1. PURPOSE AND SCOPE
This Section 4 establishes the mandatory negotiation positions for Northwind Systems ("Northwind") commercial agreements regarding limitation of liability, consequential damages waivers, and liability caps. All attorneys in the Northwind Legal Department must adhere to the thresholds and model language set forth herein. Any deviation outside the approved fallbacks requires prior written escalation pursuant to Section 4.5.

4.2. MODEL CLAUSE LANGUAGE (PREFERRED POSITION)
In all outbound B2B SaaS agreements, attorneys shall insert the following model limitation of liability clause:

"4.2.1. EXCLUSION OF CONSEQUENTIAL DAMAGES. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, NEITHER PARTY, NOR ITS AFFILIATES, OFFICERS, EMPLOYEES, OR AGENTS, SHALL BE LIABLE TO THE OTHER PARTY FOR ANY INDIRECT, INCIDENTAL, CONSEQUENTIAL, SPECIAL, PUNITIVE, OR EXEMPLARY DAMAGES, INCLUDING LOSS OF PROFITS, LOSS OF REVENUE, LOSS OF DATA, LOSS OF BUSINESS OPPORTUNITY, OR BUSINESS INTERRUPTION, ARISING OUT OF OR IN CONNECTION WITH THIS AGREEMENT, EVEN IF ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

4.2.2. CAP ON LIABILITY. NORTHWIND’S TOTAL AGGREGATE LIABILITY ARISING OUT OF OR RELATING TO THIS AGREEMENT, WHETHER IN CONTRACT, TORT (INCLUDING NEGLIGENCE), STRICT LIABILITY, OR OTHERWISE, SHALL BE STRICTLY LIMITED TO THE TOTAL FEES PAID OR PAYABLE BY CUSTOMER TO NORTHWIND UNDER THIS AGREEMENT IN THE TWELVE (12) MONTH PERIOD PRECEDING THE EVENT GIVING RISE TO LIABILITY. THE EXISTENCE OF MULTIPLE CLAIMS SHALL NOT ENLARGE THIS LIMIT.

4.2.3. SEPARATE SUPER-CAP. NOTWITHSTANDING SECTION 4.2.2, NORTHWIND’S AGGREGATE LIABILITY FOR BREACH OF SECTION 8 (CONFIDENTIALITY) OR NORTHWIND’S INDEMNIFICATION OBLIGATIONS UNDER SECTION 9 SHALL BE CAPPED AT TWO (2) TIMES (2X) THE TOTAL FEES PAID OR PAYABLE BY CUSTOMER IN THE TWELVE (12) MONTH PERIOD PRECEDING THE EVENT."

4.3. FALLBACK POSITIONS

If the counterparty rejects the preferred position, attorneys are authorized to deploy the following fallbacks in descending order of preference:

* Fallback 1 (Fee Multiplier Increase): Agree to a liability cap of two times (2X) standard fees for general breaches, provided the super-cap for IP infringement indemnification is capped at three times (3X) fees or two million dollars ($2,000,000), whichever is lower.
* Fallback 2 (Mutual Cap Alignment): If the customer insists on a mutual cap, agree to make the mutual cap apply to general liability, provided that Northwind carves out Data Protection breaches (Section 11) and IP Indemnity into separate super-caps not exceeding two million dollars ($2,000,000).

4.4. WALK-AWAY POSITIONS

Attorneys shall terminate negotiations or escalate immediately to the Chief Executive Officer if the counterparty demands any of the following terms, which represent absolute walk-away positions for Northwind:

1. Any uncapped liability provision for ordinary negligence or standard breach of contract.
2. A liability cap exceeding five times (5X) annual contract value (ACV).
3. Any super-cap or carve-out that exposes Northwind to unlimited liability for data security incidents or cyber-attacks exceeding fifty thousand dollars ($50,000) or regulatory fines.
4. Exclusion of Northwind's right to cure material breaches within thirty (30) days of written notice.

4.5. SPECIFIC NUMERIC AND CATEGORICAL THRESHOLDS

All negotiated contracts must incorporate and respect the following hard metrics:

* Monetary Floor for Claims: Contracts may not permit claims by either party where the aggregate damages do not exceed ten thousand dollars ($10,000).
* Notice Period for Claims: Customers must provide written notice of any claim within ninety (90) days of discovering the underlying act or omission giving rise to the liability.
* Cure Period: Northwind must be granted a mandatory cure period of thirty (30) days following receipt of written notice to remedy any remediable material breach before any liability or termination action accrues.
* Super-Cap Ceiling: No indemnification super-cap may exceed two million five hundred thousand dollars ($2,500,000) regardless of contract size.

4.6. MANDATED ESCALATION PATHS

The following deviations from the playbook require prior written approval from the designated internal authority before submission to the counterparty:

1. Deviation Type A: Acceptance of a customer liability cap set at three times (3X) ACV or higher for standard SaaS services.
* *Escalate To:* Marcus Vance, VP of Sales.
2. Deviation Type B: Acceptance of uncapped liability specifically restricted to gross negligence or willful misconduct (provided indirect damages remain excluded).
* *Escalate To:* Elena Rostova, Chief Financial Officer.
3. Deviation Type C: Any mutual waiver of the consequential damages exclusion clause, or acceptance of a one-way consequential damages waiver benefiting only the customer.
* *Escalate To:* Arthur Pendelton, General Counsel.

4.7. WORKED EXAMPLES OF COUNTERPARTY CLAUSES

4.7.1. Acceptable Counterparty Language (Approved for Execution)

* *Example 1:* "Each party’s maximum aggregate liability under this Agreement shall be limited to the fees paid by Customer in the preceding twelve (12) months, except that such limitation shall not apply to breaches of confidentiality or third-party IP infringement claims, which shall be capped at 2X such fees."
* *Rationale:* Aligns with Fallback 1 and preserves the consequential damages exclusion.
* *Example 2:* "In no event shall Northwind be liable for any indirect or consequential losses. Northwind's total liability for direct damages shall not exceed the greater of fifty thousand dollars ($50,000) or the amounts paid under this Agreement in the past year."
* *Rationale:* Establishes a clear monetary floor protection while capping liability within acceptable risk multipliers.

4.7.2. Unacceptable Counterparty Language (Must Be Rejected)

* *Example 1:* "The limitations and exclusions of liability in this Section shall not apply to any breach of Data Security obligations, for which Northwind’s liability shall be completely uncapped."
* *Rationale:* Violates Walk-Away Position Rule 1 and 3 regarding uncapped data security liability.
* *Example 2:* "Customer may recover all direct, indirect, and consequential damages arising from service outages, and the aggregate liability cap shall be ten times (10X) annual fees."
* *Rationale:* Directly violates the consequential damages waiver and exceeds the maximum permitted 5X ACV cap threshold under Section 4.4 and 4.6.